

Fearnleys Dry Bulk Market Outlook

Nov 27, 2025



SUMMARY AND OUTLOOK

In our previous monthly update in October, we wrote:

As the first month of Q4 is about to end, the bearish seasonality seems to repeat itself, as spot markets are down from the peak levels in September/October. For a few months, increased contango in the iron ore futures curve warned that iron ore demand could slow down in Q4, which is now seen in China's consumption data, as daily import demand has fallen from slightly above 3.01 mtpd to 2.96 mtpd. Otherwise, contango in the coal futures curve has increased, and China is well-stocked on Soybeans. On the other hand, prices of industrial metals keep rising, reflecting firm underlying demand for minor bulks. So we do not expect any major weakness for the remainder of Q4, but a lower average than Q3 still seems likely.

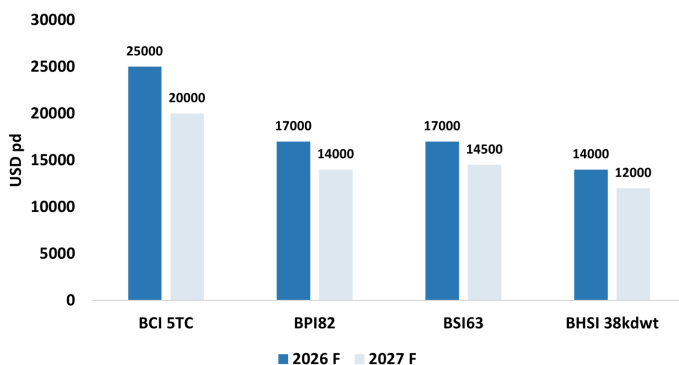
Regarding Q1 next year, the mentioned iron ore futures curve is already suggesting rising iron ore demand, the coal futures curve is much less in contango than earlier this year, with improving global manufacturing conditions and various climate factors like a weak polar vortex, potentially weak la nina and above average snow cover in Siberia suggesting the upcoming winter could be colder than usual in the northern hemisphere, supporting the demand for coal. Brazil's planting area for Soybeans and Corn is larger than last season, so if conditions turn out right, there could be more agriprods shipped next year than this year. So although Q1, as usual, is likely to be lower than Q4, we do not expect the kind of Q1 where there is an extended "opex market".

For 2026 in full, we expect earnings to average similar to those in 2024. As of now, we believe a slightly higher average than 2024 is more likely than a slightly lower one.

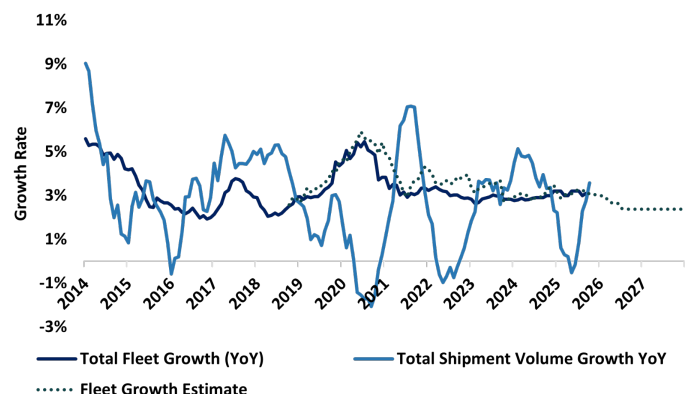
As November draws to a close, the BDI has averaged 3.5% higher so far in Q4 than in Q3. Falling iron ore consumption in China has not negatively affected Capes, as this has been counteracted by inventory building, the onset of the bauxite shipment season, and improved coal volumes. The improvement in coal fundamentals has also benefited the other segments, most notably Panamaxs, where Indonesian RVs keep making year-to-date highs. Otherwise, minor bulks demand growth remains strong, although momentum could be at a near-term peak, going by the correction in industrial metals prices since late October, which in turn signals that Handies and Supras/Ultras spot markets will not climb above the peak seen in late October before year-end.

We updated our earnings estimates for next year, reflecting that we think 2026 is likely to average a bit higher than in 2024. Commodity price levels (industrial metals, iron ore, coal, oil), manufacturing data, interest rate levels, cycle comparisons, and the supply situation all look comparably stronger than the months before we entered 2024. So, we think it is reasonable to expect the highs in second-hand values and 1-year tc rates seen that year for Kamsarmaxes, Ultras/Supras and Handies to be reached and/or exceeded next year, probably during Q2. For Capes, the story is a bit different in terms of second-hand values, as values have kept climbing despite the market weakness seen between Q4 last year and the first half of this year. Further upside is harder to expect, even with a bullish outlook on fundamentals. 2027 is still premature to call, but tentatively, we expect the markets to average lower than in 2026.

Earnings Forecasts 26 and 27



Dry Bulk Shipment Volume Growth vs Supply Growth (All Segments)



Fleet Statistics (In Million DWT)

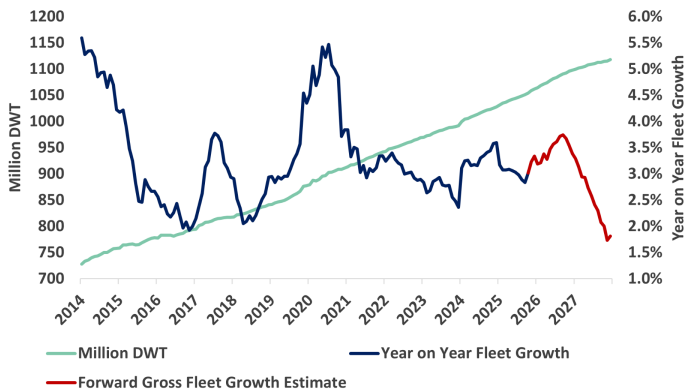
	Total Fleet	CapeNewc	Pmx/Kmx	Smx/Hmx	Handy
2024					
Deliveries	32	7.7	8.8	10.2	5.3
Scrapping	3.3	0.7	1.4	0	1.1
Fleet Growth	3.0%	1.9%	3.0%	5.0%	3.0%
2025 YTD					
Deliveries	33.1	6.7	8.9	12.3	5.2
Remaining on Schedule	8.1	1.4	2.8	2.5	1.4
Scrapping	3.6	1.2	1.3	0.1	1
YoY Fleet Growth (November)	3.1%	1.5%	3.1%	5.2%	3.0%



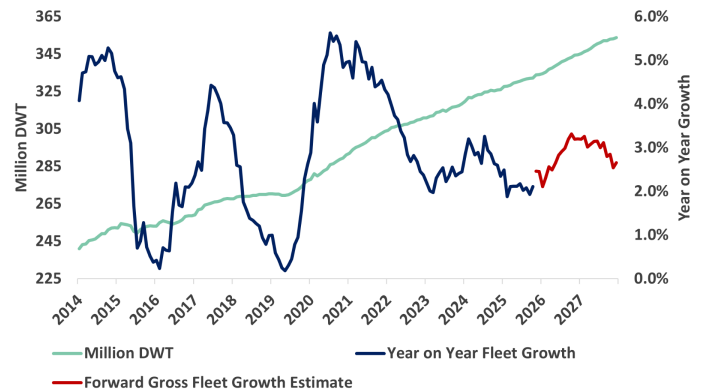


Fleet Growth and Forward Estimates (ex Scrapping and Delivery Delays or Cancellations)

Total Fleet Growth Including Estimate



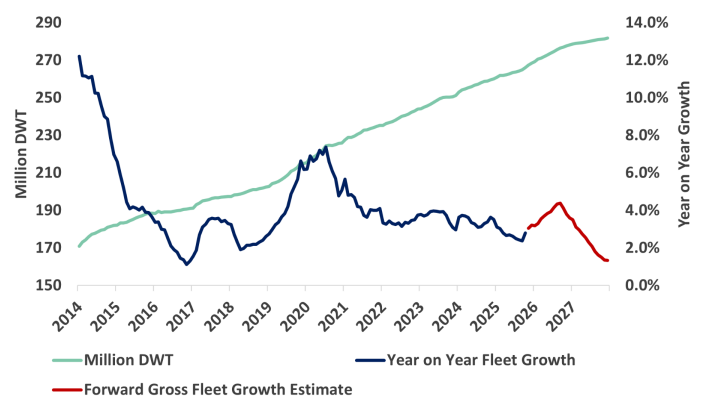
Cape/Newc Fleet Growth Including Estimate



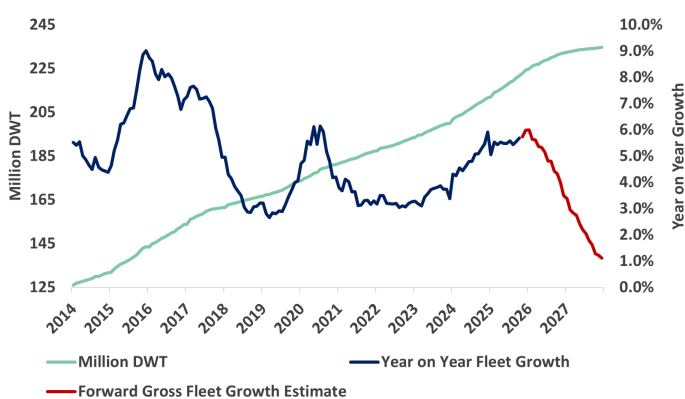
VLOC Fleet Growth Including Estimate



Panamax/Kamsarmax Fleet Growth Including Estimate



Supramax/Ultramax Fleet Growth Including Estimate



Handysize Fleet Growth Including Estimate



PERIOD RATES AND ASSET VALUES

Our comment from the September report is still relevant as a comparison:

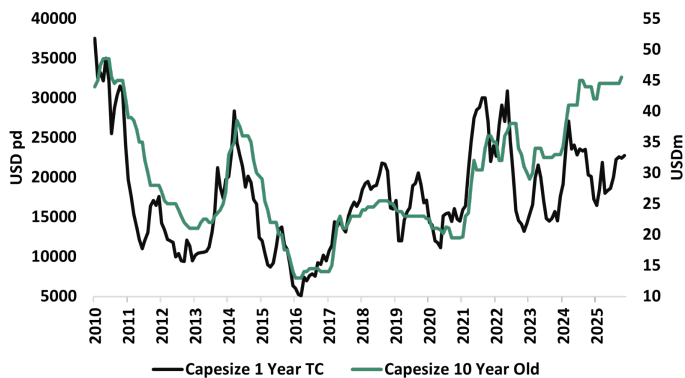
"As a comparison, spot levels for Handy Ultra and Kamsarmax are at similar heights to the peak last year now. The peak in values last year (JP):

*Kamsarmax 5yr: 38.5
Kamsarmax 10yr: 29.5
Ultramax 5yr: 36
Ultramax 10yr: 28.5
Handy 5yr: 28.5
Handy 10yr: 22*

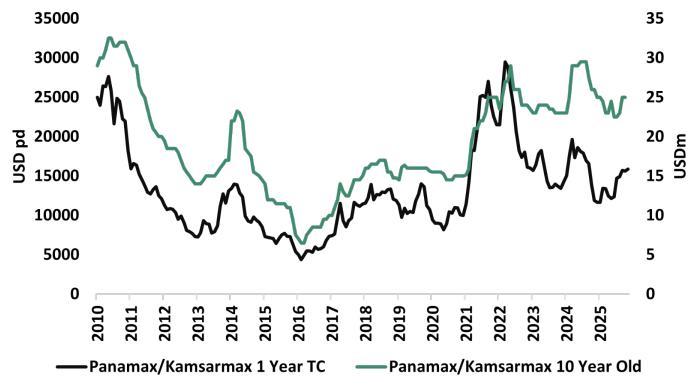
However, 1 Year TC rates are not as high as the peak last year (around 2k lower for all segments). This indicates that last year's peak values will not be reached within the coming months, unless Q4 surprises on a positive note. For Capes, 1 Year TC rates are a bit lower than the peak during 1H 2024, but values have climbed slightly since then."

Cal 26 has risen significantly for all segments in the last month, so the only thing holding values from rising further is that we are approaching the downseason in Jan/Feb. Over the next 6-9 months, we expect values to rise by 10%-20% from current levels, depending on vintage.

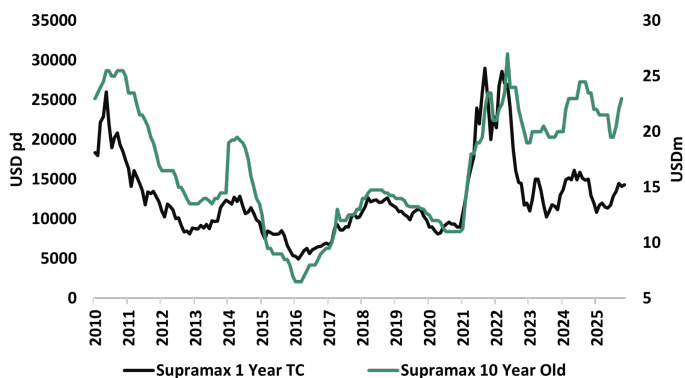
Capesize 1 Year TC vs Capesize 10 Year Old (Japanese)



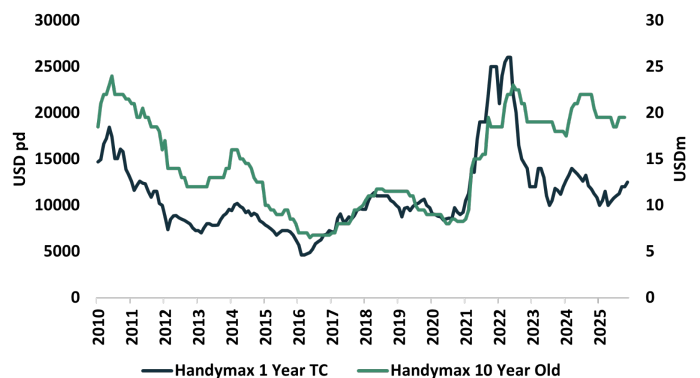
Panamax/Kamsarmax 1 Year TC vs Panamax/Kamsarmax 10 Year Old (Japanese)



Supramax 1 Year TC vs Supramax 10 Year Old (Japanese)



Handysize 1 Year TC vs Handysize 10 Year Old (Japanese)

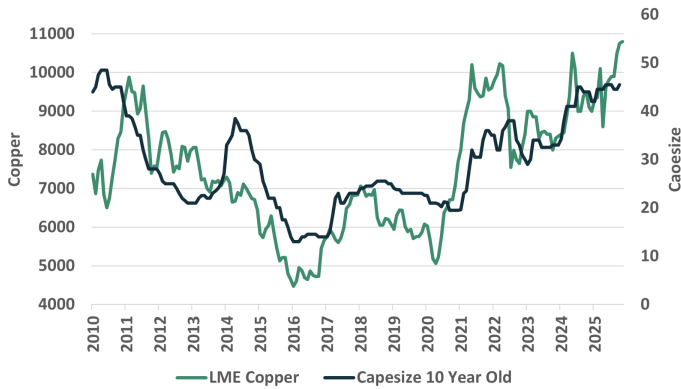




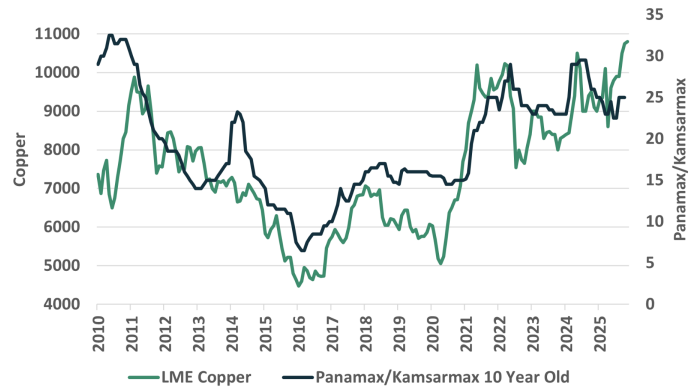
Asset Values vs Commodity Prices

Industrial metal prices often precede the change in second-hand values by around six months. The charts below display the price of copper against second-hand values since 2014. The correlation is high because the price of copper is a barometer of industrial activity and also reflects inflationary or deflationary periods. Copper and other industrial metals are suggesting continued support for asset values.

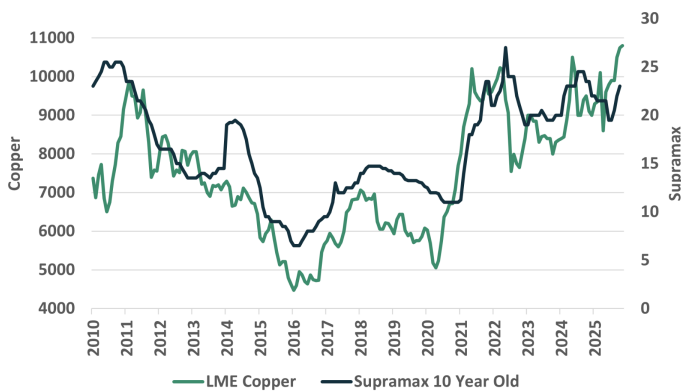
Copper Price vs Capesize 10 Year Old



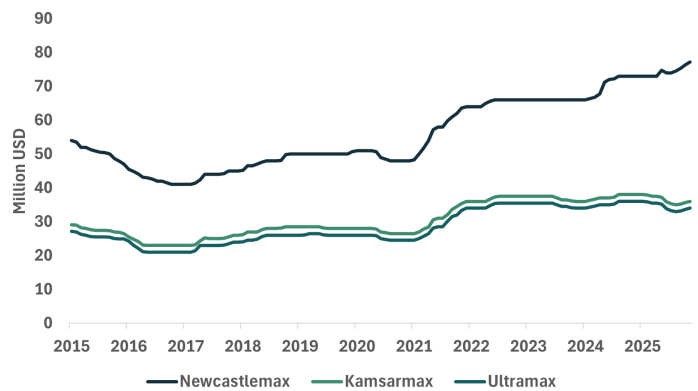
Copper Price vs Kamsarmax 10 Year Old



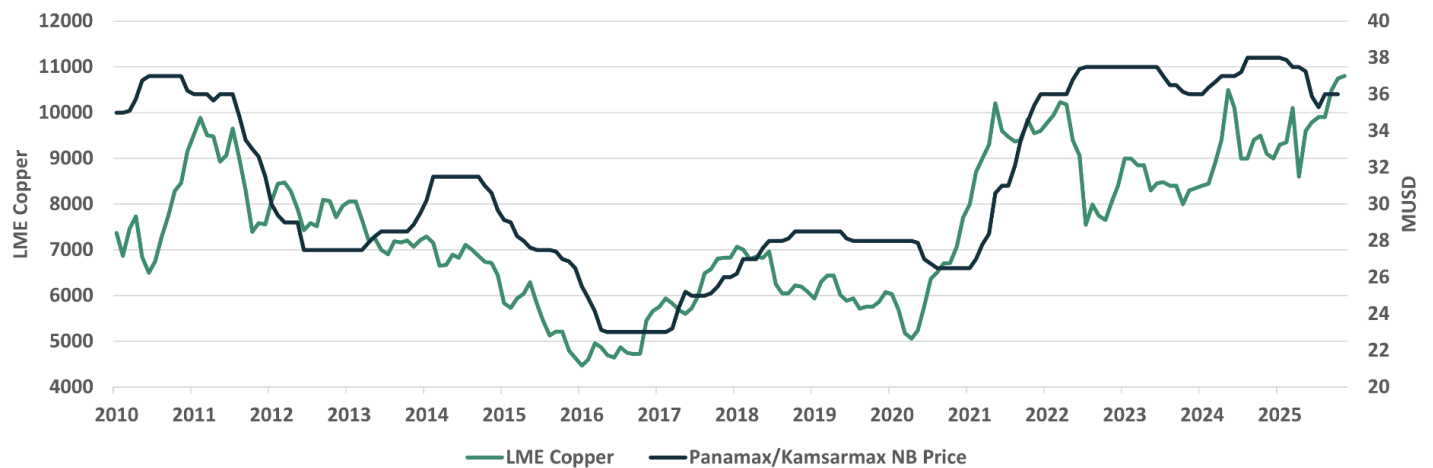
Copper Price vs Supramax 10 Year Old



Dry Bulk Newbuilding Prices



LME Copper Price vs Panamax/Kamsarmax NB Price



TRADE FLOWS YEAR ON YEAR GROWTH

	Iron Ore	Coal	Grains	Others	Total
Jul-24	-1%	-3%	6%	4%	0.7%
Aug-24	3%	7%	-2%	9%	5.6%
Sep-24	5%	1%	-9%	10%	4.3%
Oct-24	-5%	5%	-6%	6%	1.7%
Nov-24	-1%	7%	-1%	12%	5.5%
Dec-24	-4%	-1%	-16%	6%	-1.1%
Jan-25	-4%	-2%	-6%	11%	0.2%
Feb-25	-6%	-12%	-11%	10%	-4.2%
Mar-25	1%	-5%	-3%	14%	2.5%
Apr-25	1%	-6%	-6%	9%	1.0%
May-25	3%	-12%	1%	9%	0.4%
Jun-25	1%	-10%	-3%	8%	-0.8%
Jul-25	4%	2%	7%	11%	6.2%
Aug-25	4%	-1%	11%	5%	4.5%
Sep-25	4%	1%	19%	8%	5.4%
Oct-25	12%	-2%	-2%	5%	5.9%

	100 - 220 KDWT	25 - 100 KDWT		Far East	India + MEG	Southeast Asia
Jul-24	-1%	2%	Jul-24	5%	8%	17%
Aug-24	6%	5%	Aug-24	1%	2%	14%
Sep-24	3%	5%	Sep-24	0%	-3%	19%
Oct-24	-6%	7%	Oct-24	5%	-4%	20%
Nov-24	6%	7%	Nov-24	2%	-9%	14%
Dec-24	-5%	1%	Dec-24	6%	-1%	11%
Jan-25	-2%	2%	Jan-25	-8%	12%	12%
Feb-25	-7%	-3%	Feb-25	-10%	0%	10%
Mar-25	-2%	5%	Mar-25	-7%	-1%	10%
Apr-25	-1%	0%	Apr-25	-1%	5%	5%
May-25	1%	0%	May-25	-2%	4%	3%
Jun-25	-2%	0%	Jun-25	-1%	6%	7%
Jul-25	3%	7%	Jul-25	-1%	9%	-4%
Aug-25	-1%	6%	Aug-25	4%	10%	1%
Sep-25	4%	7%	Sep-25	8%	20%	-1%
Oct-25	14%	2%	Oct-25	0%	5%	6%



MACRO ECONOMIC OUTLOOK

This page gives brief comments on what the charts on the next page tells us.

Top left chart:

The BDI year-on-year change have moved into positive territory in the last months, a few months before the 12-month lead of China's credit growth suggested. The credit growth rate suggests the positive trend will continue through next year. This is further supported by the positive year-on-year change of truck and excavator sales in China.

Top right chart:

The relative improvement in China's economic growth continues, with October data showing 0% year on year, meaning China is no longer in contraction, for the first time since January 2024.

Direction-wise, the correlation of China's growth with global dry bulk volume growth holds, but as written in our previous monthly report, as a growth *driver*, China is becoming less relevant. Emerging economies, primarily in the Indian Ocean region and Southeast Asia, are becoming more relevant.

Middle left chart:

Lower crude oil prices are bullish for economic growth, and vice versa. The chart displays that since 2017, there has been a tight correlation between lower year-on-year oil prices and a higher year-on-year BDI, with the oil price change leading by 1 year.

Cheaper oil prices suggest the BDI could remain positive year-on-year throughout next year.

Middle right chart:

Lower global interest rates strongly suggest 1-year TC rates will continue rising from here, and be above this year's levels throughout next year. Tentative signs of a peak in early 2027, however,

Bottom left chart:

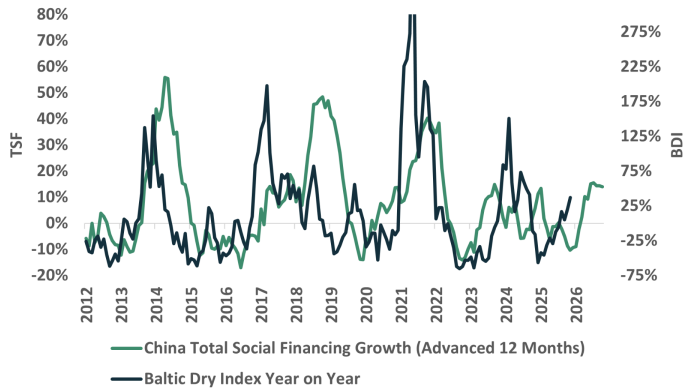
Direction-wise, the correlation between the OECD G20 Diffusion index and the BDI year-on-year change has held up as usual, but the OECD index has outperformed over the last year, as services growth (primarily driven by the AI boom) stayed high despite the downturn in manufacturing. The OECD diffusion index level looks set for a push higher to peak cycle levels (the index is still below the peaks seen in 2021, 2017, etc..) next year, along with a surge of the BDI year on year change.

Bottom right chart:

The dollar index has weakened in the last months, and as usual, the result is increased dry bulk shipment volume growth with a few months' lag. The dollar index suggests total dry bulk shipment volume growth will rise to an average of 4%-5% on a six-month moving average basis.



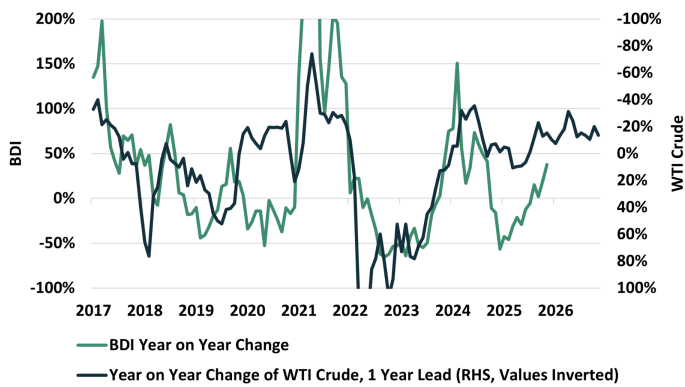
Baltic Dry Index Year on Year Change vs China Credit Growth (12 Months Lead)



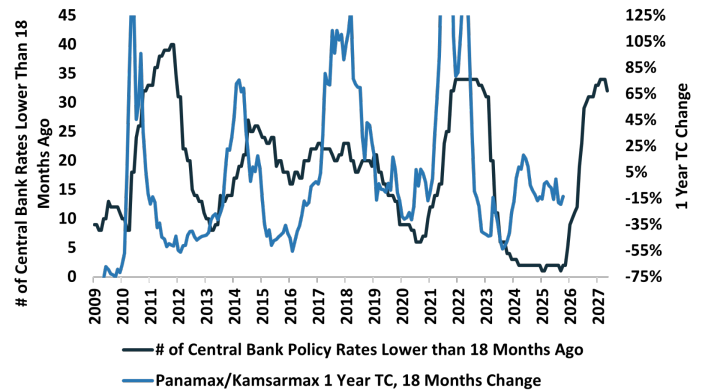
China Economic Growth Index vs Global Dry Bulk Shipments Growth



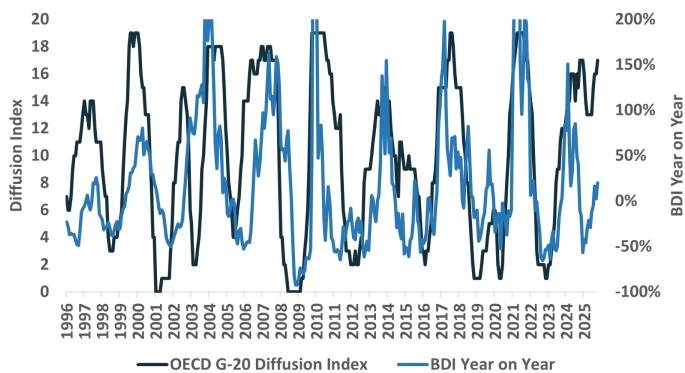
WTI Crude Oil Price YoY, 1 Year Lead vs BDI YoY



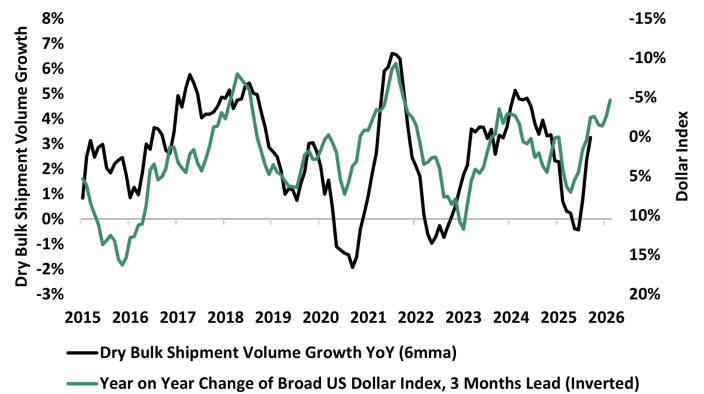
of Central Bank Rates Lower than 18 Months Ago, vs Pmx/Kmx 1 Year TC 18 Months Change



OECD G-20 Diffusion Index vs BDI YoY



Broad US Dollar Index Year on Year vs Dry Bulk Shipment Volume Growth



FRED, OECD, S&P Global, MySteel, AxsMarine, Baltic Exchange



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